Dr. Palanivel Thiaga Rajan,
Finance Minister, Tamil Nadu

"I am against authoritarian centralising"

Tamil Nadu Finance Minister **Dr PALANIVEL THIAGA RAJAN** *believes GDP numbers mean little if development fails to touch the lives of the poorest of the poor. The former global financial markets analyst spoke to India Today Group Editorial Director (Publishing)* **RAJ CHENGAPPA** *at the 'Tamil Nadu First' conclave. Excerpts:*

Q. Your chief minister wants to make Tamil Nadu a $1 trillion economy...
It is good to have goals as they hold you accountable. To get to a $1 trillion economy in three years, what we need to do is get about 14-14.5 per cent nominal growth rate that includes inflation, if you assume the effective rate is roughly the same. Right now, inflation is around 6.5 per cent; if I take that out, it means I need to get about 7.5-8 per cent growth, which is not that hard to achieve.

Q. Tamil Nadu has always believed in being a welfare state even as it tries to be an industrial state. How do you balance the books?
The notion that a welfare state cannot be a capitalist or an industrialist state is fundamentally flawed. Around the world, societies that are compassionate try to reduce economic discrimination and be inclusive, have the best economy. If you take India, Tamil Nadu spends more than anybody on all these things and has one of the best outcomes in human and social development indicators, gross enrolment ratio in high school/ college, etc. The more compassionate and caring you are...the more productivity and greater growth you will have. There is no contradiction.

Q. Your white paper pointed to declining resource contribution from the Centre. How unequal is this relationship now?
At an existential level, I am against this notion of authoritarian centralising. But let's assume that's irrelevant. At the execution level, it is crazy to sit in Delhi and design one type of programme for the entire country. Take the example of Swachh Bharat—they said we build toilets; no problem. They say we will go directly to the local body, fund them and they build toilets. Okay. The CAG report shows many flaws—no problem. But the biggest problem is that once you build the toilets, who supplies the water? Not the Centre, right? It's the panchayat or the corporation. You can't manage the water supply of every panchayat from Delhi, right? The decision should be made by the locals.



▲ **THE CHALLENGES IN DEVELOPING TAMIL NADU AS A ONE TRILLION-DOLLAR ECONOMY**

TAKEAWAYS

1. Treat the budget as a prospective document which gives intent and which, if conservative, makes estimates that are comfortable and achievable.
2. Work towards about 14-14.5% nominal growth rate, including inflation of about 6.5 per cent, to get to a trillion dollar economy.
3. Remove rights and controls imposed at the national level by the Centre.

Q. Tamil Nadu is considered the second-largest industrial state. But since 2011, your ranking at the national level has been dropping.
How do you measure or rate these things? Right now, Tamil Nadu has about Rs 10,000-15,000 per capita lower income than Gujarat. But, almost no girl under 15 is not in school in Tamil Nadu; 15-20 per cent of them are not in school in Gujarat. What kind of growth do I want? There are four doctors for every 1,000 people in Tamil Nadu. There is only one doctor for every thousand people in Gujarat. What kind of society do I want? GDP numbers are not everything. We have a way of life that we want to protect and preserve, what the CM calls the Dravidian model. We will implement this and whatever the shortcomings over the past 10 years, we will be back on top again in the next five years. I am 100 per cent sure.

(For full interview, visit Indiatoday.in)